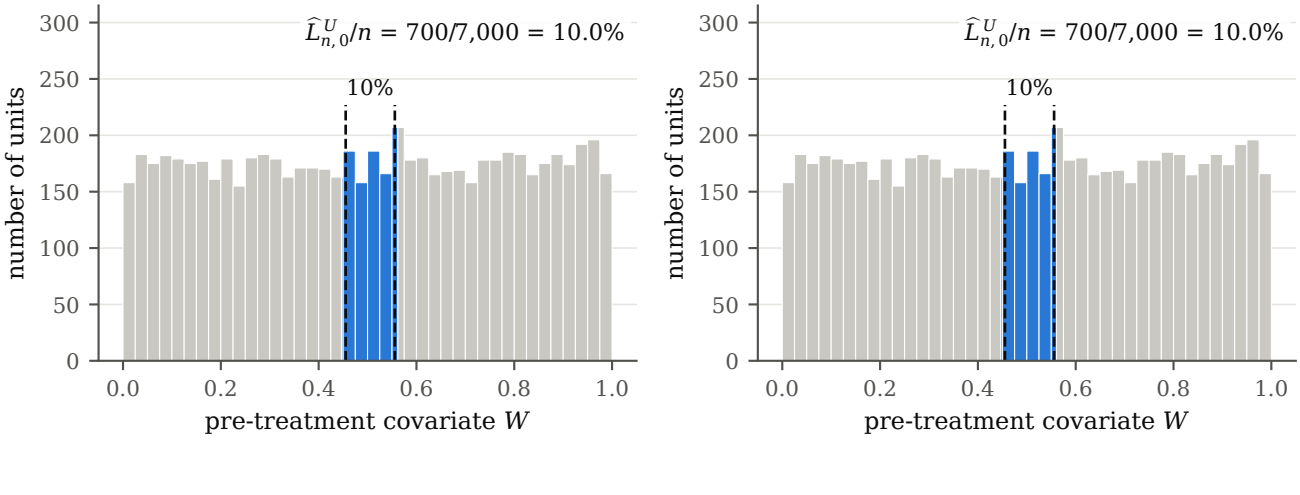
(a) raw outcome
$\widehat{L}^{U}_{n,0}/n$ = 700/7,000 = 10.0%
10%
number of units
pre-treatment covariate W
(b) independent OLS adjustment
$\widehat{L}^{U}_{n,0}/n$ = 700/7,000 = 10.0%
10%
number of units
pre-treatment covariate W
units in non-rejected regions (union)
other units
true zero-effect region (10% of units)